of the DAI. The trader can deploy cDAI in the place of DAI so that the DAI is not sitting idle but earning interest via the Compound pool. For example, the trader could deploy cDAI as the necessary collateral to open a perpetual futures position on dYdX or she could market make on Uniswap using a cDAI trading pair. (dYdX and Uniswap are discussed later in the chapter.)

The many different parameters of Compound's functionality – such as the *collateral factor, reserve factor, base rate, slope,* and *kink* – can all be tuned. The entity capable of tuning these parameters is Compound Governance, which has the power to change parameters, add new markets, freeze the ability to initiate new deposits or borrows in a market, and even upgrade some of the contract code itself. Importantly, Compound Governance cannot steal funds or prevent users from withdrawing. In the early stages of Compound's growth, governance was controlled by developer admins, similar to any tech startup. A strong development goal of Compound, as with most DeFi protocols, was to remove developer admin access and release the protocol to the leadership of a DAO via a governance token. The token allowed shareholders and community members to collectively become Compound Governance and propose upgrades or parameter tuning. A quorum agreement was required for any change to be implemented.[7]

Compound implemented this new governance system in May 2020 via the COMP token. COMP is used to vote on